

# So, how can you navigate this uncertainty?

To do so, you can take a more practical approach i.e. investing regularly through Systematic Investment Plans (SIPs), instead of attempting the nearly impossible task of timing the market.

But, you might wonder, wouldn't perfectly timed investments beat consistent ones? Sure, but studies by Capital Mind show a surprisingly narrow gap.



Here's a snapshot of the difference in returns between a lucky market timer and a regular investor from the Studies:

| Time Period     | Market Timing | Regular Investor | Difference |
|-----------------|---------------|------------------|------------|
| 1990-March 2022 | 13.3%         | 12.6%            | 0.7%       |
| 2000-March 2022 | 14.9%         | 12.9%            | 2%         |
| 2005-March 2022 | 13.9%         | 11.8%            | 2.1%       |
| 2010-March 2022 | 14.2%         | 12%              | 2.2%       |

Source: <https://www.capitalmind.in/2022/03/market-timing-what-if-you-were-the-luckiest-investor-in-india/>

So for the Lucky Market Timer, we have assumed that he times the market perfectly, and for the Regular Investor, it is assumed that they blindly take one day and keep investing there annually and the results are surprising! The difference is not crazy high, it is in the range of 0.7%-2.2%.

Also, the lucky investor got his timing right 100% of the time which is not possible. In fact, there is a chance that you make an error in timing the market and get lower returns. Hence, keeping all this in mind it is better that you continue with a SIP especially if you don't have the time to put into research to time the market.

In the end, it's not about chasing perfect timing; it's about adopting a strategy that aligns with your financial goals.